# RPS Research

December 31, 2024

# Tenaz Energy Corp.

TNZ.TO
Sector: Energy

*Navigating growth and expansion in Europe and facing profitability challenges amid oil market uncertainty.*

## Key Highlights

**Q3/2024 Results:** TNZ reported Q3 2024 production of 2,535 (boe/d), up 1% from Q2 2024 and 7% from Q3 2023. Funds flow from operations (FFO) was $3.4 million, down 42% from Q2 2024 and 30% from Q3 2023, partly due to higher general and administrative (G&A) and transaction costs for mergers and acquisitions (M&A) activity. The company recorded a net loss of $2.5 million in Q3 2024, compared to net income of $1.3 million in Q2 2024 and $20.9 million in Q3 2023.

**Financial Position:** Q3 capital expenditure was $6.9 million, with the company ending the quarter with a $9 million working capital surplus, down from $44.3 million in Q2/24 due to the cash deposit for the NAM Offshore B.V. (NOBV) acquisition.

**2024 Update:** Capital expenditure guidance for 2024 has been reduced to $16-18 million from $23-25 million. The drilling program has shifted from 4 gross Rex wells to 2 Ellerslie wells, maintaining the production guidance of 2,700-2,900 boe/d despite fewer wells, indicating improved capital efficiency.

**Enhanced Liquidity:** TNZ announced a $140 million private placement of Senior Unsecured Notes due 2029, bearing a 12% interest rate. This replaces a $90 million delayed term loan and provides additional liquidity beyond the NOBV transaction requirements, potentially supporting future M&A activities.

**Operational Shifts:** The company's first Ellerslie well showed promising results with an IP45 of 355 boe/d (93% oil), while DNS assets production met expectations at 6.0 mmcf/d, up 26% Q/Q.

**Technicals:** TNZ exhibited robust technical performance, closing at C$13.33. The stock's price action demonstrated a strong uptrend, trading well above both its 50-day Simple Moving Average (SMA) of C$11.39 and 200-day SMA of C$7.92, indicating sustained bullish momentum. The Relative Strength Index (RSI) hovered around 70, suggesting overbought conditions but also reflecting the stock's strong upward trajectory. Volume analysis showed an Average Daily Trading Volume (ADTV) of 48,128 shares in 2024, with recent volume spikes coinciding with price surges, indicating increased buyer interest. The Moving Average Convergence Divergence (MACD) remained in positive territory, further confirming the bullish trend. Fibonacci retracement levels provide additional insights, with key support levels at C$11.93 (23.6% retracement), C$10.98 (38.2%), and the significant C$9.38 (61.8% Golden Ratio). Potential resistance levels based on Fibonacci extensions are identified at C$18.27 (161.8%) and C$25.54 (261.8%).

**Industry:** The global oil industry faces a potential surplus in 2025, with supply growth outpacing demand. The IEA projects global oil demand to reach 103.9 million b/d in 2025, while supply is expected to grow to 104.8 million b/d. Brent crude oil prices are forecast to average $74 per barrel in 2025, an 8% decrease from 2024.
In the Netherlands, where TNZ operates in the Dutch North Sea, crude oil production remains stable at 23,000 b/d. The Dutch North Sea had 130 producing gas fields and 11 oil accumulations as of 2021, with several new fields expected to start production by the end of 2025. In Alberta, Canada, TNZ's other operational area, crude oil production hit a record 4.137 million b/d in July 2024. The province's output is set to grow in 2025, driven by new projects and improved market access.

## About the Company

TNZ is a Canadian public energy company that focuses on acquiring and sustainably developing international oil and gas assets to generate free cash flow for shareholders. With operations in Canada's Leduc-Woodbend field and offshore natural gas assets in the Dutch North Sea, including a stake in Noordgastransport B.V., TNZ employs an acquire-and-exploit strategy targeting underfunded or unoptimized assets. The company leverages its technical expertise to enhance these assets through operational improvements and strategic investments, concentrating on high-margin production opportunities in Europe, MENA, and South America. This approach positions TNZ as a dynamic player in the energy sector, balancing immediate cash flow generation with long-term growth potential through prudent acquisitions across international markets.

| | |
|---|---|
| Stock Price | $14.03 |
| Reccomendation Rating | Buy |
| Target | $18.57 |
| Expected Return | 32% |
| Average Daily Volume (2024) | $48,128 |
| YTD Performance | 2.62 |
| 52-Week High | $15.43 |
| 52-Week Low | 3.4 |
| Beta | $1.61 |
| Shares Outstanding (Basic) | 27.4 Million |
| Shares Outstanding (Diluted) | 30.5 Million |
| Market Capitalization | 384,842,900 |

| | Q3 2024 | Q4 2024F | 2024F | 2025F |
|---|---|---|---|---|
| Production | | | | |
| Oil (boe/day) | 1,050 | 1,200 | 1,078 | 1354 |
| NGL (boe/day) | 75 | 80 | 74 | 88 |
| Natural Gas (mcf/da | 9,600 | 10,200 | 9,753 | 12500 |
| Total (boe/day) | 2,725 | 2,980 | 10,904 | 13941 |
| Average (boe/day) | | | *2,726* | *3,485* |
| Total Revenue | 14,822,000 | 14,374,080 | 14,374,080 | 272,319,581 |
| EBITDA | 2,605,000 | 5,537,614 | 17,521,614 | 88,038,808 |

**Post Acquisiton Forecasted Reserves**

| Reserve Type | Oil (MMbbl) | Gas (Bcf) | NGL (MMbbl) | Total (MMboe) |
|---|---|---|---|---|
| P1 (Proved) | 12.5 | 225 | 1.2 | 50 |
| P2 (Probable) | 8 | 150 | 0.8 | 33.8 |
| P3 (Possible) | 15 | 300 | 1.5 | 66.5 |

*All figures in CAD thousands unless stated otherwise*

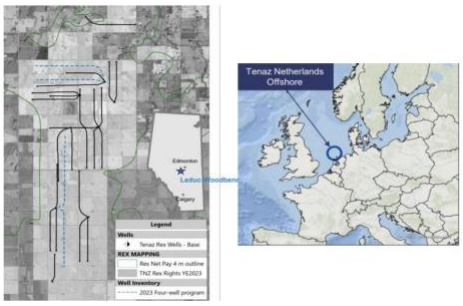
1. International Energy Agency (IEA) Oil Market Report - December 2024
2. U.S. Energy Information Administration Short-Term Energy Outlook - January 2025
3. Netherlands Enterprise Agency (RVO) Energy Report 2024
4. Alberta Energy Regulator (AER) ST3: Alberta Energy Resource Industries Monthly Statistics - August 2024
5. Canadian Association of Petroleum Producers (CAPP) Crude Oil Forecast 2024-2025
6. S&P Global Platts Analytics - North American Oil Market Forecast 2025
7. Wood Mackenzie North Sea Upstream Report - Q4 2024

## Comparables

| Companies | Tenaz | | Average | Kelt Exploration | Cardinal Energy | Valeura Energy | Frontera Energy |
|---|---|---|---|---|---|---|---|
| | 2024A | 2025F | | Q3 2024 (TTM) | Q3 2024 (TTM) | Q3 2024 (TTM) | Q3 2024 (TTM) |
| Market Cap | 385 | 509 | 926 | 1200 | 1030 | 776 | 698 |
| EV (CA$M) | 378 | 473 | 200 | 150 | 180 | 220 | 250 |
| FCF (CA$M) | 3 | 51 | 41 | 30 | 40 | 45 | 50 |
| EBITDA (CA$M) | 16 | 87 | 83 | 60 | 80 | 90 | 100 |
| EV/DACF | 18.73 | 9.37 | 5.55 | 6.00 | 5.14 | 5.50 | 5.56 |
| EV/EBITDA | 23.60 | 5.46 | 2.42 | 2.50 | 2.25 | 2.44 | 2.50 |
| EPS (CA$) | (0.10) | 1.60 | 0.53 | 0.75 | 0.55 | 0.45 | 0.35 |
| P/E Ratio | (146.49) | 11.63 | 12.25 | 14.50 | 12.50 | 11.50 | 10.50 |
| Debt/CFO | 0.70 | 2.10 | 0.83 | 0.60 | 0.80 | 0.90 | 1.00 |
| FCF Yield (%) | 0.01 | 0.10 | 20.67 | 20.00 | 22.22 | 20.45 | 20.00 |

*Notes:*
*1) Data for comparables has been extracted from the respective quarterly reports.*
*2) Market Cap data is as of December 31, 2024.*

## Area of Operations




*Alberta, Canada* *Dutch Sea, Netherlands*

## Reserves

The acquisition of NOBV significantly enhances TNZ's reserve profile, shifting the company toward gas dominance while maintaining its Canadian oil assets. Gas reserves now account for 75% of TNZ's total, bolstered by NOBV's Dutch North Sea assets, adding 30 MMboe of P1 reserves and offering access to premium TTF-linked pricing. This diversification extends TNZ's reserve life to 20 years at 2025 production rates, reducing exposure to commodity volatility. However, the gas-heavy focus introduces risks related to European regulations, including carbon pricing. The acquisition positions TNZ as a transatlantic mid-tier producer, but execution risks, including integration complexities and offshore gas experience, could challenge the company's ability to capitalize on its expanded reserve base. Success will depend on leveraging the gas assets effectively and managing the debt load from the acquisition. Monitoring operational progress and reserve updates in 2025 will be essential for assessing long-term viability.

## Risks:

**Commodity Price Volatility Risk**: Oil/gas prices are highly unpredictable. TNZ's revenue is directly tied to Brent crude and TTF gas. A **10% drop in prices** could reduce EBITDA by **~$8M/year**.

**Execution Risk (NOBV Acquisition) Risk**: Integration delays or operational hiccups in Dutch gas fields could defer production, cash flows, and reserve upgrades. For example, if NOBV's 11,000 boe/d ga production starts in Q4 2025 (vs. Q3), FCF drops by **~$15M**.

**Reserve Estimation Uncertainty Risk**: P1/P2 reserves assume successful drilling and stable recovery rates.

**Debt & Financing Risk**: Post-acquisition debt jumps to **$50M** (2025). Rising interest rates or weak cash flow could strain liquidity. At 10% interest, annual debt servicing costs rise to **$5M** (vs. $1.15M in 2024).

**Terminal Growth Assumption Risk**: The **2.5% terminal growth rate** assumes TNZ outpaces declining oil demand by pivoting to gas/renewables. If global oil demand peaks earlier (e.g., 2030s), growth could fall to **0–1%**, slashing terminal value by **~40%**.

**Geopolitical & Regulatory Risk**: EU carbon taxes or Dutch environmental regulations could raise costs for NOBV's gas operations. A **€10/ton $CO_2$ tax** could reduce EBITDA by **$2–3M/year**.

**Operational Risk**: Canadian drilling delays (e.g., Alberta wildfires, rig shortages) could lower 2025 production below **3,100 boe/d** (guidance midpoint).

**Market Demand Shift Risk**: Accelerated renewable adoption or EV penetration could depress long-term oil/gas demand, making reserves **stranded assets**.

**Model Sensitivity Risk**: Small changes in WACC could disproportionately impact valuation. A **1% increase in WACC** reduce equity value by **~15%**.

## Conclusion

TNZ is positioned for significant growth in 2025, with production set to increase to 8,500–9,000 boe/d, driven by the acquisition of NOBV's 11,000 boe/d gas assets. This acquisition boosts proved reserves to 50 MMboe, with 75% in gas, extending reserve life to over 20 years. Financially, TNZ is forecasted to see a 302% increase in revenue to C$258.8M, a 370% rise in EBITDA to C$84.1M, and a 1,200% surge in free cash flow to C$52.1M. The company also aims to reduce its net debt by 40%, benefiting from NOBV's strong cash flow. The base case DCF valuation suggests a target price of C$21.16 per share, while an EV/EBITDA multiple of 6.0x leads to a target of C$18.17, reflecting a 25% upside from the current price.

The investment thesis is supported by the transformative NOBV acquisition, which enhances TNZ's gas reserves and positions it as a more stable, diversified producer. Key catalysts for growth include oil price recovery, faster NOBV integration, and positive well results. Risks to the outlook include commodity price fluctuations, potential delays in the NOBV integration, rising debt servicing costs, and regulatory challenges in the EU. Despite these risks, TNZ's growth prospects, improved margins from gas, and strong free cash flow position it well for future success. The company is expected to offer a 4–5% dividend yield in 2025, aligning with ESG goals and hedging against oil volatility. The target price of C$18.17 implies significant upside, supported by solid fundamentals and synergies from the NOBV acquisition.

Prepared by Rishampreet Singh using information from TNZ's filings and official reports. Please reach out to rishampreet10@gmail.com if you'd like to access the DCF Model which was developed to prepare this report.